Economy Topic 11 — Service Sector, Cooperatives, Companies and Regulatory Institutions

Comprehensive Study & Revision Notes

Syllabus Coverage (click to expand)

Tertiary (Services) sector classification & structural transformation | Sub-sectors: IT-BPM, tourism, transport, logistics, healthcare, education, financial services | Cooperative movement & Ministry of Cooperation (97th Constitutional Amendment, Article 43B) | Corporate governance & Companies Act 2013 (Section 135 CSR mandate) | Statutory regulatory bodies (RBI, SEBI, IRDAI, PFRDA, CCI, TRAI, IFSCA) | Quality certifications & eco-labeling (BIS, FSSAI, AGMARK, ECOMARC, ISO 14001) | Consumer Protection Act 2019 & Maximum Retail Price (MRP) economics

Key Reference Framework: Central Statistics Office (CSO/NSO) National Accounts Statistics, Ministry of Corporate Affairs (MCA) Compendium on CSR, Competition Commission of India (CCI) Act, Telecom Regulatory Authority of India (TRAI) Act, and State Public Service Commission Examination archives. **Exam Weightage:** High — Consistently tested on sectoral GVA contributions, Corporate Social Responsibility parameters under the Companies Act 2013, Maximum Retail Price (MRP) consumer rights, ECOMARC eco-labeling specifications, and jurisdictional headquarters of national regulatory authorities.

Current Affairs & Key Indicators

Parameter / Institution	Key Metric & Institutional Development	Analytical & Policy Significance
Macroeconomic GVA Composition	In India's Gross Value Added (GVA) at current prices, **Services account for ~54.4%**, Industry ~27.8%, and Agriculture & allied sectors ~17.9%.	Illustrates the structural dominance of the tertiary sector in national output, even as agriculture retains a disproportionately large share of employment.
Maximum Retail Price (MRP) Dynamics	MRP represents a statutory price ceiling; consumers possess the legal right to bargain and purchase **below the printed MRP**.	Retailers are legally prohibited from charging any amount exceeding the MRP, but nothing in law mandates selling exactly at that ceiling.
ECOMARC Environmental Label	India's national eco-label administered by the Bureau of Indian Standards (BIS) for **environmentally friendly consumer products**.	Denotes compliance with environmental safety standards; it does not signify pure technical quality (ISI) or agricultural purity (AGMARK).

Parameter / Institution	Key Metric & Institutional Development	Analytical & Policy Significance
Mandatory CSR Architecture	Enacted under **Section 135 of the Companies Act, 2013**, requiring qualifying firms to invest **at least 2% of three-year average net profits**.	India was the first country globally to mandate CSR spending by statute; there is no "Companies Act, 2014."
Ministry of Cooperation	Carved out as an independent Union administrative ministry in **July 2021** under the vision *Sahakar se Samriddhi*.	Institutionalizes dedicated federal administrative oversight for multi-state cooperatives, distinct from the Ministry of Agriculture.
International Financial Services Centres Authority (IFSCA)	Established under the IFSCA Act, 2019, headquartered at **GIFT City, Gandhinagar (Gujarat)**.	Serves as a unified regulator for financial products, financial services, and financial institutions in international financial centres.
Insurance Regulatory and Development Authority (IRDAI)	Established under the IRDA Act, 1999; permanently headquartered in **Hyderabad, Telangana**.	Protects policyholders' interests and regulates the growth of life and general insurance industries.

11.1 The Service Sector — Structure, GVA Composition, and Transformation

The service or tertiary sector encompasses all economic activities that produce intangible utility, expertise, facilitation, or customer support rather than tangible manufactured goods or extracted physical commodities.

Sectoral Classification Boundaries

- **Primary Sector:** Natural resource extraction activities: agriculture, livestock, forestry, logging, fishing, and mining/quarrying.
- **Secondary Sector:** Industrial manufacturing and transformation: processing agricultural goods, textile weaving, chemical synthesis, capital goods fabrication, electricity, gas, water supply, and **construction**.
- **Tertiary Sector:** Services enabling commerce and social welfare: trade, hotels, transport, warehousing and storage, communications, broadcasting, banking, insurance, real estate, software development, public administration, defense, education, and healthcare.
- **Key Distinctions:**
- **Forestry and fishing**, and **mining and quarrying** belong strictly to the **Primary sector**.
- **Agricultural warehousing and storage** belongs to the **Tertiary sector**, categorized alongside transport and logistics.
- **Construction** is classified under the **Secondary sector (Industry)** in national income accounting, rather than Services.

Macroeconomic Contribution and Structural Shift

- **Structural Transformation:** Traditional economic development theory (Kuznets and Clark) posits a progression from agriculture to manufacturing, and subsequently to services. In India, the economy bypassed a prolonged manufacturing-led phase, transitioning directly from an agrarian base to a service-led growth paradigm.
- **National Income Share:** The service sector contributes the dominant proportion of India's Gross Value Added (GVA) at current prices:

> **GVA Share:** Services (~54.4%) > Industry (~27.8%) > Agriculture & Allied (~17.9%)

- **Sub-Sector Composition:** Within the service sector, the largest sub-segment is **financial, real estate, and professional services**, which alone generates over 26% of national GVA, followed by trade, repair, hotels, transport, and communication (approx. 14%).
- **Employment-Output Asymmetry:** A defining structural characteristic of the Indian economy is the structural mismatch between output and employment: while services generate over half of GDP, they employ approximately 30% of the workforce, whereas agriculture generates under 18% of GDP while employing over 45% of the working population.

11.2 The Cooperative Movement and Constitutional Architecture

A cooperative society is an autonomous, member-controlled association founded on the principle of self-help and mutual cooperation, where ownership and governance are distributed democratically on a "one member, one vote" basis.

Constitutional Foundations

- **Article 19(1)(c):** Guarantees all citizens the fundamental right to form associations, unions, or *cooperative societies*.
- **Article 43B (Directive Principles of State Policy):** Directs the State to endeavor to promote the voluntary formation, autonomous functioning, democratic control, and professional management of cooperative societies.
- **Part IXB (Articles 243ZH to 243ZT):** Added by the 97th Constitutional Amendment Act, 2011, establishing uniform standards for board size, term of office, independent auditing, and democratic conduct of cooperative elections. *(Note: In Union of India v. Rajendra N. Shah (2021), the Supreme Court upheld Part IXB for Multi-State Cooperative Societies operating across multiple States, while striking it down for intra-State cooperatives due to lack of ratification by half the State legislatures, as cooperative societies remain in Entry 32 of the State List).*

Institutional Framework

- **Union Ministry of Cooperation:** Formed in **July 2021** to provide a separate administrative, legal, and policy framework for strengthening cooperatives, promoting Primary Agricultural Credit Societies (PACS) computerization, and formulating national cooperative export and organic federations.

- **Cooperative Banking:** Regulated under the Banking Regulation (Amendment) Act, 2020, granting the Reserve Bank of India regulatory authority over management, licensing, and audit of Urban Cooperative Banks (UCBs) and Multi-State Cooperative Banks.

11.3 Companies, Corporate Governance, and Corporate Social Responsibility (CSR)

Statutory Corporate Framework

- The **Companies Act, 2013** serves as the omnibus corporate code in India, governing corporate formation, financial auditing, shareholder rights, and merger regulations.
- Distinguishes between **private limited companies** (restrictions on share transfer, maximum 200 members) and **public limited companies** (freely transferable shares, minimum 7 members, access to public capital markets).

Mandatory Corporate Social Responsibility (CSR)

- **Section 135 Mandate:** Requires qualifying companies to allocate and spend in every financial year **at least 2% of the average net profits of the company made during the three immediately preceding financial years** in pursuance of its Corporate Social Responsibility Policy.
- **Applicability Thresholds:** Enforceable on any company (including foreign branches in India) that in the immediately preceding financial year satisfies any of the following:
- Net worth of **₹500 crore or more**, or
- Turnover of **₹1,000 crore or more**, or
- Net profit of **₹5 crore or more**.
- **Eligible Activities (Schedule VII):** Permitted expenditures encompass eradicating hunger, poverty, and malnutrition; promoting education and vocational skills; improving maternal and child health; ensuring environmental sustainability and ecological balance; and contributions to the Prime Minister's National Relief Fund or PM CARES Fund.
- **Disqualified Activities:** Expenditures undertaken in the normal course of business, political contributions, and activities that benefit **exclusively the company's employees and their families** do not qualify as CSR.
- **First Mandatory CSR Statute:** India is recognized as the first nation globally to institutionalize corporate social responsibility as a mandatory legal obligation under corporate statute.

Q-EC1. UPPCS (Pre) 2019

With reference to the Corporate Social Responsibility (CSR), which of the statements is/are correct?

1. Companies Act 2014, introduces mandatory CSR.
2. Companies covered under this will have to spend atleast one percent of their annual net-profit in the activities under CSR.

Select the correct answer using the codes given below:

A. 1 Only B. 2 Only C. Both 1 and 2 D. Neither 1 nor 2

Show answer

Explanation: Both statements are incorrect. Statement 1 is false because mandatory Corporate Social Responsibility was enacted under **Section 135 of the Companies Act, 2013** (not a 2014 Act), coming into effect on 1 April 2014. Statement 2 is false because qualifying companies are legally obligated to spend **at least two percent (2%)** of their average net profits over the three immediately preceding financial years, rather than one percent of annual net profit. **Ans: D.** Neither 1 nor 2

11.4 National Regulatory Authorities and Oversight Architecture

Independent statutory regulators preserve competitive markets, protect consumer interests, and enforce prudential standards across key economic sectors:

Regulatory Body	Year of Establishment & Statute	Headquarters & Primary Regulatory Domain
Reserve Bank of India (RBI)	1935 (RBI Act, 1934)	**Mumbai** — Monetary policy, currency issuance, commercial banking, payment and settlement systems.
Securities and Exchange Board of India (SEBI)	1988; Statutory 1992 (SEBI Act, 1992)	**Mumbai** — Securities markets, stock exchanges, mutual funds, merchant banking, investor protection.
Insurance Regulatory and Development Authority of India (IRDAI)	1999 (IRDA Act, 1999)	**Hyderabad** — Licensing, solvency margins, and consumer protection across life and non-life insurance.
Pension Fund Regulatory and Development Authority (PFRDA)	2003; Statutory 2013 (PFRDA Act, 2013)	**New Delhi** — Prudential regulation of pension funds, central recordkeeping, and National Pension System (NPS).
Competition Commission of India (CCI)	2003 (Competition Act, 2002)	**New Delhi** — Eliminates anti-competitive agreements, cartels, abuse of dominant position, and reviews corporate combinations.
Telecom Regulatory Authority of India (TRAI)	20 February 1997 (TRAI Act, 1997)	**New Delhi** — Regulates telecommunications and broadcasting tariffs, interconnection terms, and service quality.
International Financial Services Centres Authority (IFSCA)	2020 (IFSCA Act, 2019)	**GIFT City (Gandhinagar)** — Unified statutory regulator for capital markets, banking, and insurance within IFSCs.
Bureau of Indian Standards (BIS)	1986; Revamped 2016 (BIS Act, 2016)	**New Delhi** — National standards body; administers ISI certification mark and compulsory hallmarking.

Regulatory Body	Year of Establishment & Statute	Headquarters & Primary Regulatory Domain
Food Safety and Standards Authority of India (FSSAI)	2008 (FSS Act, 2006)	**New Delhi** — Formulates science-based food standards, hygienic practices, and regulates food business operators.

Sectoral Communications and Modernization Initiatives

- **Universal Service Obligation Fund (USOF):** Formulated under the Indian Telegraph (Amendment) Act, 2003, funded through a universal service levy on telecom service providers' adjusted gross revenue (AGR) to subsidize rural broadband infrastructure (BharatNet).
- **Project Arrow (Department of Posts):** Launched in **April 2008** by India Post to achieve end-to-end modernization of post office infrastructure, core banking services, and computerized mail handling.

11.5 Standards, Quality Marks, and Consumer Rights Architecture

Quality certification schemes overcome information asymmetry between manufacturers and consumers, verifying compliance with environmental and technical benchmarks.

- **ECOMARC:** Launched in **1991** by the Ministry of Environment, Forest and Climate Change in collaboration with the Bureau of Indian Standards (BIS). It is awarded to consumer products that satisfy quality standards while causing minimal ecological harm across manufacturing, consumption, and disposal. Its official logo is an **earthen pot (*matka*)**, symbolizing natural sustainability.
- **AGMARK:** A legally backed quality certification mark issued under the **Agricultural Produce (Grading and Marking) Act, 1937**, administered by the Directorate of Marketing and Inspection (DMI) under the Ministry of Agriculture and Farmers Welfare. It grades unprocessed and semi-processed agricultural commodities (e.g., ghee, pulses, edible oils).
- **ISO 14001:** An internationally recognized voluntary management standard published by the International Organization for Standardization (ISO) that specifies requirements for an effective **Environmental Management System (EMS)** within industrial and commercial organizations.

Maximum Retail Price (MRP) and Consumer Protection

- **Economics of MRP:** Under the Legal Metrology (Packaged Commodities) Rules, every pre-packaged retail commodity must declare the Maximum Retail Price (MRP), inclusive of all taxes.
- **Price Ceiling Rule:** MRP constitutes a **statutory price ceiling**, not an inflexible price floor. Retailers are strictly prohibited from charging any amount exceeding the MRP.
- **Consumer Right to Bargain:** Because the MRP is legally an upper boundary, consumers retain the full legal right to bargain, negotiate, and purchase goods **below the marked MRP**.
- **Consumer Protection Act, 2019:** Established the **Central Consumer Protection Authority (CCPA)** with powers to initiate class actions, order product recalls, and impose penalties on misleading advertisements.

Q-EC2. UPPCS (Pre) 2021

The symbol 'ECOMARC' is related to which of the following?

A. Goods of best quality B. Safe goods for environment C. Exported goods D. Imported goods

Show answer

Explanation: The ECOMARC symbol is India's national eco-label administered by the Bureau of Indian Standards (BIS) in collaboration with the Ministry of Environment, Forest and Climate Change. It is awarded specifically to consumer products that meet established environmental safety benchmarks alongside basic quality standards, certifying that they are safe for the environment. **Ans: B.** Safe goods for environment

Q-EC3. UPPCS (Pre) 2025

Given below are two statements, one is labelled as Assertion (A) and the other as Reason (R).

Assertion (A): Consumers can bargain below the Maximum Retail Price (MRP).

Reason (R): MRP is the price above which a seller cannot charge a buyer.

Select the correct answer from the code given below:

A. Both (A) and (R) are true, but (R) is not the correct explanation of (A) B. (A) is false, but (R) is true C. (A) is true, but (R) is false D. Both (A) and (R) are true and (R) is the correct explanation of (A)

Show answer

Explanation: Under the Legal Metrology (Packaged Commodities) Rules, the Maximum Retail Price (MRP) printed on pre-packaged goods represents a statutory upper ceiling, inclusive of all taxes. Sellers are legally barred from charging any price higher than this declared ceiling. Because it is defined purely as an upper limit and not as a fixed mandatory price, sellers are legally permitted to offer discounts, and consumers have the legal right to bargain for prices below the marked MRP. Thus, both statements are true, and Reason (R) correctly explains Assertion (A). **Ans: D.** Both (A) and (R) are true and (R) is the correct explanation of (A)